Law of Equity and Trusts (EQT1)

Module 3: Nature and Creation of Trusts

Lesson 1: Definition, Parties and Separation of Title

Lesson Notes

KMVTECHUG

Version: 2026

What Is a Trust?

A trust is a relationship in which a trustee holds legal title to property for the benefit of beneficiaries (or for a charitable purpose). The trustee is under fiduciary duties enforceable in Equity.

The dual ownership idea is central: legal title in the trustee; equitable (beneficial) interest in the beneficiary. This separation is what allows Equity to enforce the trust against the trustee's conscience.

Key idea: Trust = legal title in trustee + equitable interest in beneficiary + enforceable fiduciary obligations.

The Three Parties

Settlor (or creator) creates the trust. Trustee holds and manages the property. Beneficiary enjoys the equitable interest. One person can occupy more than one role (for example, a settlor may also be a trustee or a beneficiary), but conflicts of interest must be managed.

Trust Distinguished from Other Relationships

A trust is not a debt, not a simple agency, and not a bailment — though it may share features with each. The hallmark is the separation of legal and equitable title coupled with fiduciary obligation regarding specific property.

Reflect: *Why does dual ownership matter when a trustee becomes insolvent?*

Key Takeaways

- A trust separates legal and equitable title.
- The trustee owes fiduciary duties to the beneficiaries.
- Settlor, trustee and beneficiary are the core parties.
- Trusts are distinct from debts, agency and bailment.

Quick Revision Checklist

- [ ] I can define a trust using dual ownership.
- [ ] I can name and explain the three parties.
- [ ] I can distinguish a trust from a debt and from agency.
- [ ] I understand why the beneficiary's interest is equitable.